

It was a tough year, but not a disaster. As I keep stressing, you are likely to be judged not only on your absolute performance but also on your performance relative to the stock markets. In this case, the stock markets had a weak year, ending only a couple of percent better than your futures strategy. Given how well last year went, this slight loss isn't much of an issue.

Simply having a trending market may not be enough to make money. Take the coffee market of 2015 as an example. You see in Figure 6.85 how we had a bear market trend for much of the year, but also saw some rather dramatic spikes up during that period. Each time we got those sudden moves out, we lost money and stopped out. All in all, this particular bear market trend was not in any way profitable.

It does of course mean that you won't get any performance fee. You lost nearly 6%, or US\$5 million, and after fees, the net loss was about 7% (Tables 6.55 and 6.56). Note the nice effect of having had a 50% year just now. Your management fee is still the same percentage, but your asset base is now much higher and you get over a million just in management fee. A million for showing up. It's nice work, if you can get it.

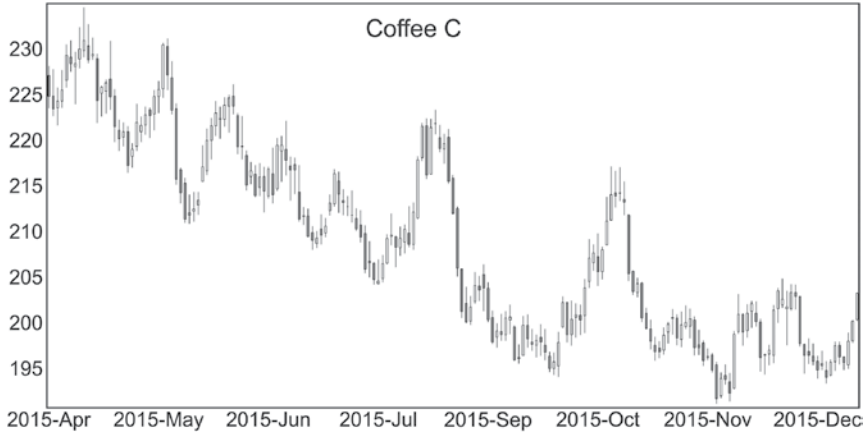


FIGURE 6.85 Chippy coffee market.

TABLE 6.55		Sector results 2015				
	Currencies	Agriculture	Non-Agriculture	Equities	Rates	All sectors
Long	-0.1	-4.8	-4.3	0.7	-1.2	-9.6
Short	1.1	3.7	7.3	-4.5	-4.8	2.8
Total	1.0	-1.1	3.7	-3.9	-5.6	-5.9